Past Consideration

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Core Principles

Past consideration is not good consideration:

- The consideration for a promise must be given **in return for** the promise. If the act or forbearance said to constitute the consideration has already been done before, and independently of, the giving of the promise, it amounts to "past consideration"; and such past act or forbearance does not in law amount to good consideration for the promise.

- Plaintiff's promise or act, together with the defendant's promise, should constitute **a single transaction** that is **causally related** to the other (but a transaction will not be strictly chronologically analyzed, since bargains rarely involve truly simultaneous exchanges).

- Some consequences of the rule:
  - A promise to pay for work already done is not or an act already done, is, without more, enforceable.
  - A new term cannot be introduced after the conclusion of a contract unless fresh consideration is provided for the new term in a binding bilateral variation of the original contract (e.g., *Roscorla v Thomas*)

Roscorla v. Thomas 282-283

- What were the facts of this case?
- Why did the court conclude that the promise that the horse was not over five years old and was sound and free from vice was not binding?

Exercise 1

Alice has always been very close to her grandfather, Paul. In May 2024, Paul attended Alice's university graduation. Alice had graduated in the top 5% of her political science class. Paul was extremely proud of her academic achievements and told Alice that he was impressed by the effort she had put into her studies.

During the graduation celebration, Paul said to Alice: "Because of your very hard work at this University, if you are ever admitted into a law school, I will be fully responsible for paying your first-year tuition fees. This is my solemn promise to you".

Alice thanked Paul and told him that she had always wanted to become a lawyer. She added: "I will follow your lead and apply to law school". Paul smiled, with a thumbs up. At that time, Alice had not yet applied to law school. Over the following months, Alice researched several law schools, completed the application process, and ultimately applied to three schools.

In March 2025, Alice was admitted to a law school and decided to accept the offer. She immediately contacted Paul and reminded him of his promise. Paul replied: "My dear Alice, I am sure you have heard and read about the recent economic challenges caused by the Trump tariffs. Unfortunately, I will not be able to pay the fees. I am sorry to disappoint you."

Discuss whether Alice provided good consideration for Paul's promise.

Exercise 2

Peter's father died when Peter was 10 years old. After his father's death, Peter's grandmother, Alice, assumed responsibility for his care and supported him until he graduated from university. Alice provided Peter with food, clothing, accommodation, and other financial and emotional support throughout his childhood and university years.

When Peter married Beatrice, Beatrice was deeply appreciative of the care Alice had provided Peter. Beatrice and Alice became very close, and Beatrice frequently expressed her gratitude to Alice for everything she had done for Peter.

Several years after Peter and Beatrice married, Beatrice told Alice that she wanted to recognize her contribution to Peter's upbringing. Beatrice promised Alice that she would pay her a monthly "pension" of $2,500 for the remainder of Alice's life. Alice thanked Beatrice. For the next two years, Beatrice made her promised monthly pension payment to Alice.

Peter and Beatrice subsequently divorced. Following the divorce, Beatrice stopped making the monthly payments to Alice. Alice has asked Beatrice to continue making the payments, relying on the promise Beatrice made to her.

Three months after the divorce, Beatrice stopped making paying the "pension" to Alice. Discuss whether Beatrice's promise to pay Alice $2,500 per month is legally binding. Would your answer be different if Peter, rather than Beatrice, had made the promise?

Exercise 3

Peter, a lawyer, was walking home from the gym when he was attacked by several robbers. The robbers stripped Peter of his clothes, beat him severely, and left him lying on the roadside, seriously injured. As Paul, a tax collector, was travelling along the road, he came upon Peter. Seeing that Peter was badly injured, Paul took pity on him and decided to help. Paul administered first aid, transported Peter to a nearby hospital, and spoke to the hospital staff: “Please look after him. When I return, I will reimburse you for all the expenses you incur in treating him”.

Paul left the hospital and returned the following day. As he had promised, he paid the hospital $5,000 for the medical care it had provided to Peter. Peter was eventually discharged from the hospital. After learning that Paul had paid the hospital bill, Peter wrote to Paul and signed a document stating: “In consideration of you saving my life, I promise to reimburse you $5,000 for the expenses you incurred on my behalf. I am eternally indebted to you”.

Peter has subsequently refused to make the payment. Paul believes that he saved Peter’s life and incurred $5,000 in expenses for Peter’s benefit, and that Peter’s written promise should therefore be enforceable. Discuss whether Peter’s promise to pay Paul $5,000 is legally binding.

An exception to the rule that past consideration is not good consideration

- An act performed before a promise is made can constitute good consideration for that promise if three conditions are satisfied:

1. The act must have been performed at the promisor's request.

2. The parties must have understood that the act would be remunerated, either by payment or by the conferment of some other benefit.

3. The payment or other benefit must have been legally enforceable if it had been promised in advance.

Pao On v. Lau Yiu Long 281

- This case decides that an act done before the giving of a promise by the promisor may be valid consideration for that promise if the act had been done at the promisor's request, the parties had understood that the act was to be remunerated either by payment or conferment of a benefit, and the payment or conferment of a benefit would have been enforceable had it been promised in advance.

- For a recent application of this principle, see: In the Matter of the Proposal to Creditors of Conforti Holdings Limited, 2022 ONSC 3263 (CanLII), paras 31-44.

Lampleigh v Brathwait, 281

- Action against the defendant for breach of contract. Defendant murdered someone and requested the plaintiff to work and seek him a pardon from the King. The plaintiff travelled at his own expense to the King and obtained a pardon for the defendant. After the pardon was granted, the defendant promised to pay the plaintiff £100 but failed to fulfill that promise.

- What was the promise in this case?
- What was the consideration for this promise?
- What was the legal difficulty with using that as consideration?
- Why did the court nonetheless conclude that it was good consideration?

Exercise 4

In April, Johnson Imports Ltd., a company specializing in high-end electronics, faced an unexpected problem when a shipment of valuable goods arrived at Port Windsor. Its contracted logistics provider had suddenly gone on strike, leaving Johnson unable to transport the goods to several retail partners. Johnson risked breaching its supply agreements if the deliveries were delayed.

Johnson's Operations Manager, Mark, contacted his former schoolmate, Paul, who worked for Smith Logistics Ltd. Mark explained the emergency and asked Paul to arrange immediate transportation. Paul replied, "What are friends for? It will be done." Mark responded, "I am grateful, Paul." No discussion of payment took place.

Despite the short notice, Paul rearranged Smith Logistics' existing commitments and arranged for drivers and vehicles to transport Johnson's goods. The shipment was delivered successfully the following morning.

After the delivery, Mark called Paul to thank him. Mark said, "Johnson will pay you for what you have done." Paul replied, "I appreciate that." No amount was agreed upon.

One week later, Smith Logistics issued Johnson an invoice for $20,000. Johnson refused to pay, arguing that no binding agreement had been formed. Mark maintains that Johnson never agreed to pay $20,000 and that the amount is approximately three times what Johnson ordinarily pays for comparable transportation. Smith Logistics argues that it provided a substantial benefit to Johnson at Johnson's request and incurred significant costs in doing so.

Discuss whether Smith Logistics provided good consideration for Johnson's promise to pay for the transportation services.

Exercise 5

In June 2026, Maya Chen, a software entrepreneur, was attending a technology conference at a downtown Toronto convention centre. During a break, she was walking through a service area when a large lighting fixture became detached from the ceiling and fell toward her.

Jordan Ellis, a freelance audiovisual technician working at the conference, saw what was happening. Jordan immediately pushed Maya out of the way. The fixture struck Jordan instead, causing serious injuries to Jordan's back and shoulder. Jordan required several months of physiotherapy and was unable to work during much of that period.

Maya was extremely grateful. Two weeks after the accident, she visited Jordan at home and told Jordan that she wanted to "make sure you are taken care of." Maya explained that she had recently sold her technology company and had sufficient financial resources to help. She then signed a document stating:

"In recognition of what Jordan did for me on June 14, 2026, I promise to pay Jordan $150,000. This payment is intended to compensate Jordan for the injuries and financial losses suffered as a result of saving my life."

Jordan signed the document as well. Maya subsequently paid Jordan $25,000 but later refused to pay the remaining $125,000. She stated that Jordan had already performed the act for which the payment was promised and that Jordan had not provided anything in exchange for her promise.

Jordan commenced an action against Maya for the balance.

Discuss whether Jordan can enforce Maya's promise.